

sacrificing 50 percent of the spending power from her savings (her overall spending reduction would be less after including Social Security and other income sources). But in the context of safe savings rates, if someone saved at a rate of 17.6 percent at a time when she only needed to save 9.9 percent (this is the lowest LMSR value, occurring for the 1901 retiree), she is sacrificing 7.7 percent of her annual salary as surplus savings. She will usually also find that she still has funds remaining after a thirty-year retirement period, but she was indeed able to afford her desired expenditures.

The safe savings rate concept has several advantages over traditional planning with regard to individuals who seem to be falling behind or soaring ahead of retirement goals. When retiring after a bear market, individuals using the safe savings rate will have still fallen far behind their traditional wealth accumulation targets. Though the SAFEMIN savings rate was shown to always have worked, these seemingly low wealth accumulations may have discouraged someone from continuing to save, or may have caused someone to needlessly delay retirement.

On the other hand, in recent years, wealth accumulations have been high. They exceeded 12.5 times final earnings between 1997 and 2007. Those saving for retirement during this time may have achieved traditional wealth targets earlier than expected, which may have caused people to either cut back on their savings or even retire early, while postretirement market conditions may result in a lower than expected sustainable withdrawal rate. This is of particular concern for recent retirees who may be overly reliant on the notion that a 4 percent withdrawal rate is safe. The unprecedented bull market of the 1990s would have allowed the 2000 retiree to finance her planned retirement expenditures using a withdrawal rate of only 2.8 percent, a number which could be more in line with reality for more recent retirees.

Safe *savings* rates provide a resolution to the “safe withdrawal rate paradox,” which David Jacobs and Michael Kitces developed independently (see Further Reading). Consider the following. At the start of 2008, Person A and Person B both have accumulated \$1 million. Person A retires and uses the 4 percent rule to determine she can withdraw an inflation-adjusted \$40,000 for the entirety of her retirement. In 2008, both Person A and Person B’s